

Chapter 54: Financial Inclusion, Financial Sustainability, and India's Journey towards Viksit Bharat 2047

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Abstract

India's Viksit Bharat 2047 vision aspires to transform the nation into a developed economy with GDP of USD 30–40 trillion, per capita income of USD 15,000–18,000, and zero poverty by the centenary of independence, requiring approximately 8% annual GDP growth over two decades. This paper investigates financial inclusion and financial sustainability as the twin foundational pillars of the financial architecture required to achieve this vision. Employing structured secondary data analysis—synthesising evidence from RBI publications, NITI Aayog, Ministry of Finance, World Bank Global Findex 2025, NPCI records, and peer-reviewed literature—the paper finds that India has achieved structural transformation of remarkable scale: the RBI Financial Inclusion Index rose to 67.0 in March 2025 (up 24.3% since 2021); PMJDY enrolled 55.98 crore accounts with 55% women beneficiaries; UPI processed 18,587 crore transactions worth Rs. 261 lakh crore in FY2024–25 at a CAGR of 114%; account ownership reached 89% of adults; and banking sector Gross NPA fell to approximately 2.1%, with Capital to Risk-Weighted Assets Ratio rising to 17.4%. Critical gaps persist: 23% of PMJDY accounts remain dormant, insurance density stands at USD 92 per capita, pension coverage reaches less than 10% of the informal workforce, and a pronounced gender gap in digital financial usage endures. The paper proposes the Inclusive Financial Sustainability for Viksit Bharat (IFSV) Framework—a three-pillar model linking Inclusion Depth, Systemic Sustainability, and Developmental Finance Readiness—and offers policy recommendations to operationalise this framework through 2047.

Keywords: Financial inclusion; Viksit Bharat 2047; financial sustainability; PMJDY; UPI; JAM trinity; RBI FI-Index; Digital payments; Inclusive growth; India 2047

1. INTRODUCTION

On August 15, 2047, India will mark a century of independence. The Viksit Bharat 2047 vision—a developed, prosperous, and self-reliant India—targets GDP of USD 30–40 trillion (from approximately USD 3.9 trillion in FY2024–25), per capita income of USD 15,000–18,000, elimination of extreme poverty, and net-zero emissions by 2070 (NITI Aayog, 2023; Economic Survey, 2025). To achieve this, India must sustain approximately 8% annual GDP growth for two decades, requiring the investment rate to rise from 31% to 35% of GDP, manufacturing to expand to 25% of GDP, and 7.85 million new non-farm jobs to be created annually until 2030 (Economic Survey, 2025).

Financial inclusion and financial sustainability represent the twin pillars of the financial architecture required for Viksit Bharat. Financial inclusion—ensuring access to appropriate, affordable, and timely financial services for all—harnesses the productive potential of India's vast informal sector, 600 million rural inhabitants, 100+ million micro-entrepreneurs, and 280 million unorganized sector workers. Financial sustainability—the capacity of the banking system to maintain its intermediation functions across economic cycles—is the systemic precondition for translating financial access into durable productive investment.

India's progress on both dimensions over the past decade has been remarkable: the RBI Financial Inclusion Index reached 67.0 in March 2025, reflecting a 24.3% improvement since 2021; PMJDY enrolled 55.98 crore beneficiaries; UPI processed 18,587 crore transactions in FY2024–25 at a CAGR of 114%; and the banking sector's Gross NPA ratio declined from 11.5% in 2018 to approximately 2.1% by 2025. Yet realising Viksit Bharat demands a qualitative leap—from account ownership to active financial engagement, from transaction facilitation to productive credit access, and from regulatory compliance to developmental finance innovation. This paper maps this journey, proposes an integrative conceptual framework, and identifies key policy interventions required over the next two decades.

2. THEORETICAL AND CONCEPTUAL FOUNDATIONS

2.1 Financial Inclusion and Economic Development

The theoretical relationship between financial inclusion and economic growth is well-established. Schumpeter (1911) argued that financial intermediation is the engine of capitalist development; Levine (2005), Demirgüç-Kunt and Klapper (2013), and Beck et al. (2007) have empirically demonstrated that financial sector depth is positively and significantly associated with economic growth, poverty reduction, and income inequality reduction. Financial inclusion extends this logic to the household and micro-enterprise level—enabling consumption smoothing, relaxing credit constraints on micro-entrepreneurs, mobilizing domestic savings, and facilitating efficient public transfers through direct benefit transfer mechanisms (Demirgüç-Kunt et al., 2017). The United Nations formally recognizes financial inclusion as a cross-cutting enabler for seven SDGs, mapping directly onto Viksit Bharat's four pillars: Yuva, Garib, Mahilayen, and Annadata (United Nations, 2015).

2.2 Financial Sustainability as Systemic Precondition

Financial sustainability encompasses capital adequacy, asset quality, liquidity management, governance integrity, and developmental orientation (Schoenmaker & Schramade, 2019). The relationship between financial inclusion and sustainability is characterized by productive tension: inclusion initiatives involving lending to unbanked segments involve higher credit risk and operational costs that, if unmanaged, can strain asset quality. Conversely, a financially sustainable banking system—with clean balance sheets and adequate capital—is the prerequisite for durable inclusion, as only such institutions can sustain the long-term lending relationships meaningful inclusion requires (Mehrotra & Yetman, 2015; RBI FSR, 2024).

2.3 The Viksit Bharat 2047 Vision

Indicator	Current Status (FY2024-25)	Target 2047
GDP (USD Trillion)	~USD 3.9 trillion	USD 30–40 trillion
Per Capita Income (USD)	~USD 2,500	USD 15,000–18,000
Investment Rate (% GDP)	~31%	~35%
FI-Index (RBI, 0–100)	67.0 (Mar 2025)	Approaching 90+
Account Ownership	89% of adults	Universal (100%)
Multidimensional Poverty	~11.28% (NITI 2024)	Zero poverty

Table 1. Viksit Bharat 2047 — Key Economic Indicators: Current Status and Targets. Sources: NITI Aayog (2023); Economic Survey 2024–25; RBI (2025); World Bank Global Findex (2025).

3. FINANCIAL INCLUSION IN INDIA: PROGRESS, DEPTH, AND GAPS

3.1 The JAM Trinity: Architecture of Inclusion

India's financial inclusion revolution rests on the JAM Trinity—Jan Dhan (bank accounts), Aadhaar (biometric digital identity), and Mobile connectivity—which has created an unprecedented digital public infrastructure. By March 2025, the JAM ecosystem connects 144 crore Aadhaar enrollments, 55.98 crore Jan Dhan accounts, and 97 crore internet users—the largest interoperable financial inclusion infrastructure in the world (PIB, 2025). Aadhaar-enabled direct benefit transfers have channeled over Rs. 45.70 lakh crore to beneficiaries across 330+ government schemes, with an estimated 40% reduction in leakage, generating cumulative fiscal savings of Rs. 2.73 lakh crore by 2024.

3.2 PMJDY: From Access to Active Usage

The Pradhan Mantri Jan Dhan Yojana (PMJDY), launched in August 2014, has enrolled 55.98 crore beneficiaries with total deposits reaching Rs. 2.6 lakh crore—an average balance of Rs. 4,645 per account. Over 55% of accounts are held by women, and 67% are in rural and semi-urban areas. The RBI's National Strategy for Financial Inclusion 2025–30 (NSFI 2025–30) formalizes a transition from 'coverage-based inclusion' toward 'quality-driven inclusion' through five strategic objectives (Panch-Jyoti) focused on last-mile access, credit deepening, women's financial empowerment, digital inclusion, and financial literacy (Vision IAS, 2026).

Critical gaps persist, however. Approximately 23% of PMJDY accounts remain dormant—against a 3–4% dormancy rate in comparable developing countries. Women hold 55% of Jan Dhan accounts but only 28% actively use digital financial services (versus 41% of men). Women-led businesses source only 10% of financing from institutional credit, relying predominantly on informal moneylenders. The urban-rural digital financial divide is pronounced: approximately 59% of urban adults use UPI or card payments compared to 14–27% of rural adults (Vision IAS, 2026).

3.3 UPI and the RBI FI-Index

UPI transactions grew from 92 crore in FY2017–18 to 18,587 crore in FY2024–25 at a CAGR of 114%, with transaction value rising from Rs. 1.10 lakh crore to Rs. 261 lakh crore (PIB, 2025). The World Bank's Global Findex 2025 independently validates India's progress: account ownership reached 89% of adults—a 54-percentage-point gain from 35% in 2011, among the fastest large-scale financial inclusion transitions in economic history. The RBI FI-Index rose from 53.9 in March 2021 to 67.0 in March 2025, with Usage (weighted 45%) as the primary driver, reflecting UPI volume surges, APY enrollment at 626+ lakh, and PMSBY coverage of 50.54 crore.

4. FINANCIAL SUSTAINABILITY: PILLARS AND PERFORMANCE

4.1 Banking Sector Resilience

India's banking sector has undergone a profound transformation over the past decade. The Gross NPA ratio peaked at 11.5% in March 2018 and declined to approximately 2.1% by FY2024–25—a multi-decadal low. Simultaneously, the Capital to Risk-Weighted Assets Ratio (CRAR) rose from 13.0% in 2015 to 17.4% by June 2025. Public Sector Banks recorded their highest-ever aggregate net profit of Rs. 1.41 lakh crore in FY2023–24, with Return on Assets and Return on Equity reaching decadal highs (RBI FSR, 2024).

Indicator	FY2018 (Crisis Peak)	FY2022	FY2025 (Latest)
GNPA Ratio (All SCBs)	11.5%	5.8%	~2.1% (multi-decade low)
Net NPA Ratio	6.1%	2.1%	~0.5%
CRAR (All SCBs)	13.8%	16.0%	17.4% (Jun 2025)

Indicator	FY2018 (Crisis Peak)	FY2022	FY2025 (Latest)
PSBs Net Profit	Loss-making	Rs. 66,539 cr	Record levels
Return on Assets	Negative (PSBs)	0.7%	Decadal high
FI-Index	N/A	56.4	67.0 (Mar 2025)

Table 2. India Banking Sector — Financial Sustainability Scorecard. Sources: RBI FSR (2024); CEIC Data (2025).

4.2 Micro-Finance, MSME Credit, and Insurance-Pension Inclusion

The Pradhan Mantri MUDRA Yojana (PMMY) has disbursed loans across 49 crore accounts since inception—the world's largest collateral-free micro-credit programme, with 68% of loans to women borrowers. However, sustainability concerns persist: special mention accounts are rising in the microfinance and personal loans segments, and digital lending delinquencies in sub-Rs. 50,000 categories have increased, representing a key regulatory challenge for the Viksit Bharat financial architecture (RBI FSR, 2024).

Insurance density stands at approximately USD 92 per capita—far below the USD 500+ levels typical of developed nations. Pension coverage through the Atal Pension Yojana enrolls 626+ lakh subscribers, representing less than 10% of the unorganized sector workforce. PMJJBY and PMSBY have collectively enrolled hundreds of millions of previously uninsured Indians at premium costs of Rs. 436 and Rs. 20 per annum respectively, demonstrating micro-insurance viability at scale—yet claims settlement quality and awareness levels remain heterogeneous across states and demographic groups (PIB, 2025).

5. THE IFSV FRAMEWORK: INCLUSIVE FINANCIAL SUSTAINABILITY FOR VIKSIT BHARAT

Drawing on the empirical analysis and theoretical synthesis of preceding sections, this paper proposes the Inclusive Financial Sustainability for Viksit Bharat (IFSV) Framework—a three-pillar conceptual model linking Inclusion Depth, Systemic Sustainability, and Developmental Finance Readiness.

IFSV Pillar	Core Objective	Key Mechanisms	2047 Target
Pillar 1: Inclusion Depth	Quality, active, multi-product financial inclusion for all	PMJDY 2.0; NSFI 2025–30 Panch-Jyoti; ULI for thin-file credit; women-focused BC network; financial literacy	100% active account usage; 50%+ credit penetration in informal sector; universal micro-insurance
Pillar 2: Systemic Sustainability	Financially sound, climate-resilient banking system	Basel III capital buffers; RBI PCA framework; IBC resolution; climate risk disclosure; MSME credit guarantees	GNPA below 2%; CRAR above 16%; microfinance NPA below 3%; climate stress tests operational
Pillar 3: Developmental Finance Readiness	Scale long-term infrastructure and development finance for 8%+ growth	NaBFID; green bond market; CBDC; capital market deepening; ONDC for inclusive commerce	Infrastructure at 5%+ of GDP; green finance at 10% of bank lending; CBDC at 10 crore users

Table 3. The IFSV Framework: Three Pillars for Viksit Bharat 2047.

The IFSV Framework's three pillars are connected by mutually reinforcing feedback loops. The Inclusion-Sustainability Loop: deeper inclusion mobilizes domestic savings through formal channels, expanding the resource base for banking sector intermediation—illustrated by Jan Dhan's Rs. 2.6 lakh crore in deposits directly funding credit expansion; a more stable banking system then extends inclusion credit with greater confidence. The Sustainability-Development Loop: only a banking sector free of non-performing assets and governance failures can sustain the infrastructure lending, MSME credit, and agricultural financing required for 8% GDP growth—the dramatic improvement in PSB profitability (from loss-making in 2017 to Rs. 1.41 lakh crore net profit in FY2024) has restored this developmental capacity. The Development-Inclusion Loop: rising incomes toward the USD 15,000–18,000 Viksit Bharat target organically expand demand for sophisticated financial services, driving inclusion from the demand side and creating a virtuous cycle that ultimately enables full inclusion without perpetual government mandate.

6. CRITICAL CHALLENGES ON THE ROAD TO VIKSIT BHARAT

6.1 Quality-Coverage Gap

India's financial inclusion achievement is overwhelmingly concentrated in the Access dimension—account ownership, branch availability, and payment infrastructure—while Usage and Quality dimensions remain underdeveloped. Account dormancy of 23% (PMJDY), low insurance density, minimal pension coverage, and the gender gap in digital financial service usage collectively indicate that formal system membership has not translated into meaningful financial capability for hundreds of millions of Indians. Bridging this gap requires sustained investment in financial literacy, product design tailored to low-income households, and trust-building grievance redressal mechanisms (Demirgüç-Kunt et al., 2017).

6.2 Digital Exclusion and Climate Risk

Despite remarkable internet penetration progress (97 crore users in 2024), approximately 40 crore Indians remain outside effective digital connectivity, directly translating into a financial inclusion divide—59% of urban adults use digital payments compared to 14–27% of rural adults. Last-mile activation through digital literacy, vernacular interfaces, and trusted intermediaries (Bank Mitras, Business Correspondents) remains the critical execution challenge (Digital India, 2024). Climate risk compounds these challenges: agriculture, which carries the highest sectoral GNPA ratio of 6.2%, is simultaneously the sector most exposed to climate variability. Physical climate risk and transition risk represent emerging sources of systemic financial vulnerability that could undermine both inclusion progress (predominantly rural) and systemic stability, requiring urgent deepening of India's green finance architecture, sustainable finance taxonomy, and climate risk supervisory frameworks (Dikau & Volz, 2021).

6.3 Credit Quality and Sustainable Microfinance

The sustainability of inclusion-oriented lending presents an enduring structural challenge. India's microfinance sector has been periodically punctuated by asset quality crises (e.g., the 2010 Andhra Pradesh crisis). Current data suggests emerging stress: special mention accounts and digital lending delinquencies in sub-Rs. 50,000 loan categories are rising (RBI FSR, 2024). Sustainable financial inclusion requires credit underwriting that genuinely assesses repayment capacity rather than relying on social pressure, and regulatory frameworks that prevent over-indebtedness without restricting access—a frontier challenge requiring the RBI's enhanced digital lending regulations and the MuleHunter.AI fraud prevention platform.

7. POLICY RECOMMENDATIONS FOR THE VIKSIT BHARAT FINANCIAL AGENDA

7.1 Regulatory and Institutional Priorities

- Implement the NSFI 2025–30 Panch-Jyoti framework with measurable annual milestones disaggregated by gender, geography, and socio-economic group to shift inclusion metrics from coverage to quality.
- Establish a Viksit Bharat Financial Inclusion Mission—a high-level inter-ministerial coordination mechanism—aligning the inclusion agendas of RBI, SEBI, IRDAI, PFRDA, and relevant ministries within the 2047 development vision.

- Operationalize climate stress testing for Indian banks by 2026–27, aligned with NGFS Phase III guidelines, and introduce capital add-ons for concentrated climate risk exposures.
- Establish a National Credit Bureau for Microfinance borrowers, leveraging ULI data infrastructure, to enable responsible multi-lender credit assessment and prevent over-indebtedness.

7.2 Digital, Technology, and Demand-Side Priorities

- Accelerate BharatNet 2.0 to achieve meaningful broadband connectivity for uncovered gram panchayats; mandate vernacular language interfaces for all regulated digital payment applications, enabling usage by the 55% of India's population that is not English-proficient.
- Scale the CBDC (Digital Rupee) pilot to at least 10 crore users by 2027, prioritizing programmable money applications for agricultural subsidies, scholarship disbursements, and social protection transfers.
- Integrate age-appropriate financial literacy into NEP 2020 curriculum from Class 6 onwards, and scale the RBI's Centre for Financial Literacy to every gram panchayat by 2030, leveraging 13.55 lakh Bank Mitras as financial literacy ambassadors.
- Launch a targeted Women's Financial Empowerment Programme to close the 13-percentage-point digital financial service usage gap, including tailored products, trusted female financial counselors, and female-led Business Correspondent networks.
- Develop a National Insurance and Pension Deepening Mission to increase insurance density to USD 200 (from USD 92) and APY enrollment to 15 crore by 2030, addressing the most critical gap between India's current inclusion profile and Viksit Bharat requirements.

8. DISCUSSION AND CONCLUSION

The analysis in this paper supports a fundamental reframing of financial inclusion's role in India's development narrative. Financial inclusion is not merely a social welfare objective but the supply-side infrastructure through which India's 1.4 billion citizens—its 600 million rural inhabitants, 100+ million micro-entrepreneurs, and 280 million informal sector workers—can be mobilized as productive economic agents in the Viksit Bharat project. Achieving USD 30 trillion GDP by 2047 from a base of USD 3.9 trillion requires economic activation of currently excluded segments: the smallholder farmer gaining access to weather-indexed crop insurance and working capital credit; the MSME entrepreneur accessing ULI-enabled collateral-free lending; the migrant worker channeling remittances through UPI at zero marginal cost; the rural woman using SHG savings to launch a microenterprise.

Financial sustainability creates the systemic conditions for this activation to be sustained. The dramatic improvement in banking sector health—GNPA at 2.1%, CRAR at 17.4%, PSBs at record profitability—has restored the banking system's capacity to serve as a genuine engine of developmental finance rather than a ward of the state.

India stands at an inflection point. The evidence demonstrates a structural transformation of remarkable scale: 55.98 crore Jan Dhan accounts with Rs. 2.6 lakh crore in deposits; UPI at 18,587 crore annual transactions; FI-Index at 67.0 and rising; account ownership at 89% of adults; and banking sector GNPA at multi-decade lows. Yet the distance between today's reality and Viksit Bharat 2047 remains substantial. Account dormancy of 23%, insurance density below USD 100, pension coverage below 10% of the informal workforce, a 13-percentage-point gender gap in digital financial usage, and emerging credit quality stress in inclusion-oriented lending are not minor policy gaps—they are foundational challenges that will determine whether India's financial inclusion progress translates into the deep, multi-product financial engagement required for Viksit Bharat.

The IFSV Framework offers a conceptual architecture for managing this transition: deepening inclusion quality through the NSFI 2025–30 Panch-Jyoti framework; sustaining financial system resilience through continued regulatory discipline and climate risk integration; and scaling developmental finance infrastructure through capital market deepening, green finance, and institutional innovation. Executed with discipline, coherence, and political commitment, this agenda can make India's financial system the engine of Viksit Bharat—a primary driver of the most consequential national development transformation of the 21st century.

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DISCLOSURE STATEMENT

The authors declare no conflict of interest.

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